

Understanding Promissory Notes in Dynamics 365 Finance

A **promissory note** is a financial document in which one party formally agrees to pay a specified amount to another party at a defined future date. Within **Dynamics 365 Finance**, this functionality supports organizations in structuring payment commitments while maintaining transparency and control over financial obligations.

Promissory notes can be utilized by multiple teams across the organization to strengthen financial processes:

◆ **Accounts Payable (AP) Teams** use promissory notes to manage vendor payments and schedule future payment commitments, helping organizations optimize cash flow and payment planning.

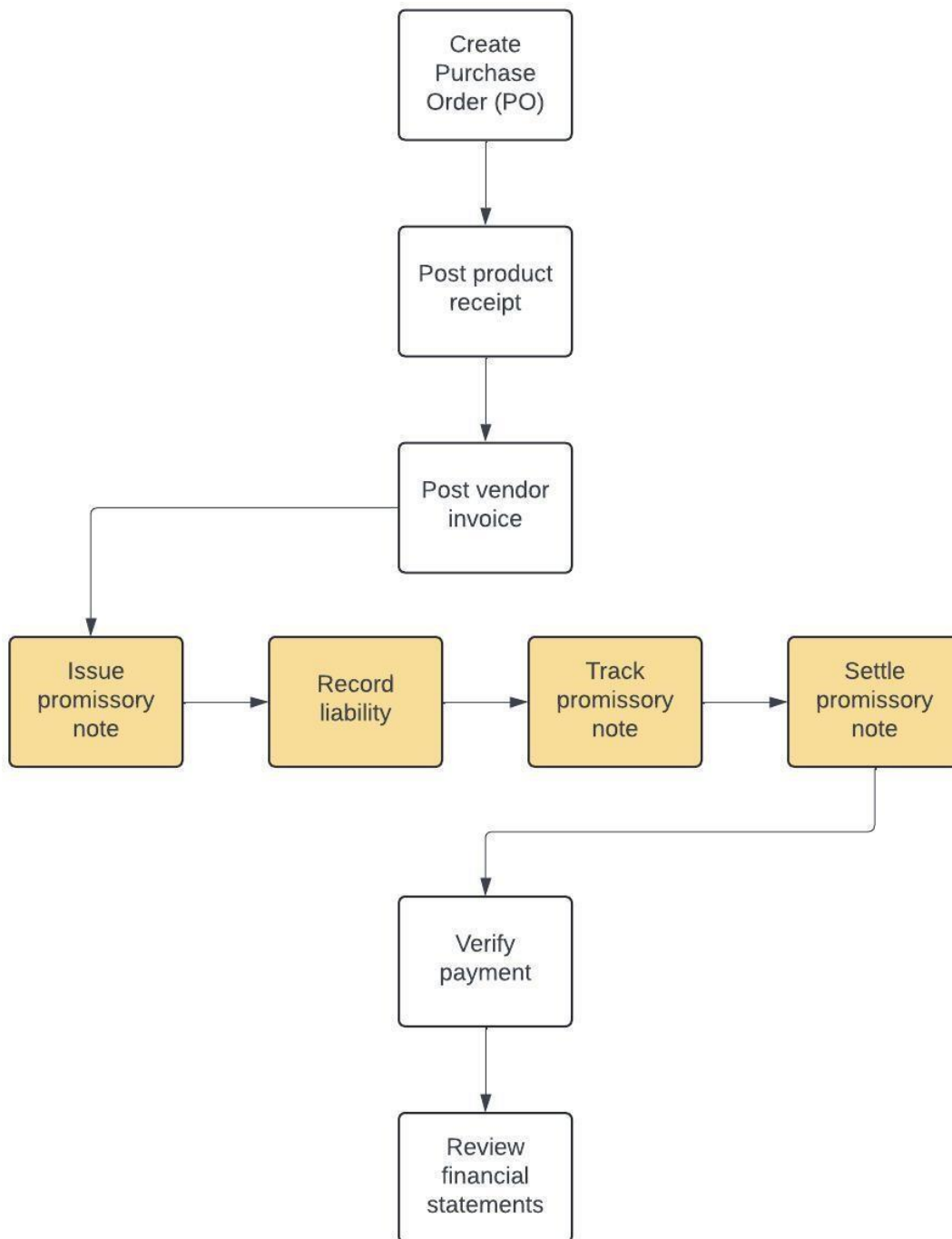
◆ **Finance and Treasury Teams** leverage promissory notes for financial planning, liquidity management, and ensuring that short-term financial obligations are effectively monitored and fulfilled.

◆ **Legal and Compliance Teams** oversee the documentation and ensure that promissory note transactions comply with regulatory requirements and internal governance policies.

In **Dynamics 365 Finance**, promissory notes are commonly used by organizations that require formalized payment agreements as part of their financial operations. This feature helps businesses manage structured payment commitments while maintaining accurate financial records.

However, it is important to note that the use of promissory notes is **more common in certain regions and less frequently adopted in the United States** within standard business processes.

In the following section, let's explore the **end-to-end process flow of promissory notes in Dynamics 365 Finance**.



Example Scenario: Promissory Note in Dynamics 365 Finance

Consider a scenario where **Contoso** purchases inventory worth **\$10,000 from Acme**. Instead of paying immediately, Contoso issues a **promissory note**, formally committing to settle the amount after **60 days**.

During this period, Contoso plans its cash flow and ensures sufficient funds are available before the maturity date. Once the **due date arrives**, the company settles the promissory note and completes the payment to the vendor.

This approach helps organizations **structure payment commitments, manage liquidity effectively, and maintain accurate financial tracking within Dynamics 365 Finance.**

In this example, we will review the invoice that will be used to demonstrate the **Promissory Note process in Dynamics 365 Finance & Operations.**

Finance and Operations

Accounts payable > Vendors > All vendors

USMF

🔍🔔🌐⚙️?

AD

←

✎ Edit

Voucher

View settlements

Settlement ▾

Paid by checks

Purchasing card invoices

Original document

Open details

Promissory note

Reverse ▾

Vendor 1099 transactions

Inquiry ▾

Project ▾

🔍...

🔗📢🕒🏠

Vendor transactions | 1001 : Acme Office Supplies

My view * ▾

Show ▾

Date

All

6/1/2024

☐ Hide currency revaluations

List

General

Payment

Promissory note

Settlement

Remittance

History

1099

Financial dimensions

☐ Voucher	☐ Invoice	▽ Date	▽ Due date	▽ Description	Amount in transaction cur...	Balance in tran...	Currency	Amount	Balance	Amount in rep...	Balance in rep...	Note ID	Sequence num...	Status	Remittance numl
☒ APIN000123	☐ INVCD066	6/1/2024	7/1/2024		860,000.00	0.00	USD	860,000.00	0.00	-860,000.00	0.00		0	Invoiced	

Instead of making an immediate payment, a **promissory note** can be created to formally commit to a payment at a future date. This approach helps organizations manage cash flow while maintaining clear financial obligations.

In this scenario, the process is completed through the following steps:

- Draw a Promissory Note
- Remit a Promissory Note
- Settle a Promissory Note

Before initiating the process, the **Promissory Note Statistics Inquiry** can be reviewed to understand the current status prior to drawing the promissory note.

Finance and Operations

Accounts payable > Vendors > All vendors

Home

Favorites

Recent

Workspaces

Modules

Accounts payable

Accounts receivable

Asset leasing

Asset management

Audit workbench

Budgeting

Cash and bank management

Common

Consolidations

Cost accounting

Cost management

Credit and collections

Demo data

Engineering change management

Expense management

Expand all

Collapse all

> Workspaces

< Vendors

All vendors

Vendors on hold

Vendors past due

Vendors who are diverse

Vendor exception groups

Vendor groups

Vendor price tolerance groups

> Purchase orders

> Invoices

< Payments

Vendor payment journal

Payment journals assigned to me

Payment transfers

Vendor postdated checks

< Promissory notes

Draw promissory note journal

Redraw promissory note journal

Remittance journal

Settle promissory note journal

> Broker and royalties

< Inquiries and reports

Product receipt

Vendor aging report

Vendor open transactions report

Vendor transactions report

History by transaction report

Broker open AR invoices report

> Vendor reports

> Purchase order reports

> Invoice

< Payment

Payment fee

Promissory note journal

Promissory note statistics

Vendor posted payment journal report

Promissory note journal report

> Periodic tasks

> Setup

> Policy setup

> Invoice matching setup

> Charges setup

> Payment setup

Finance and Operations				
Accounts payable > Inquiries and reports > Payment > Promissory note statistics				
← Origin Options 🔍				
Promissory note statistics				
Standard view ▾				
☐	Status	Number of pro...	Amount	Remaining amount
☐	Drawn and invoice-confirmed documents	2	-13,855.79	-13,855.79
	Redrawn documents	1	-171.23	-171.23
	Documents in remittance	0	0.00	0.00
	Remitted and remitted-confirmed documents	0	0.00	0.00
	Honored documents	1	500.00	0.00
	Closed documents	0	0.00	0.00

Throughout the process, we will revisit this screen multiple times to review the status and progress of the transaction.

To begin, the first step is to **draw the promissory note** in the system.

Navigation Path:

Accounts Payable → Payments → Promissory Notes → **Draw Promissory Note Journal**

This step initiates the creation of the promissory note that formalizes the commitment for future payment.

 **Finance and Operations**

Accounts payable > Payment setup > Methods of payment

 Home

 Favorites

 Recent

 Workspaces

 Modules

Accounts payable

Accounts receivable

Asset leasing

Asset management

Audit workbench

Budgeting

Cash and bank management

Common

Consolidations

 Expand all  Collapse all

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> Payments

Vendor payment journal

Payment journals assigned to me

Payment transfers

Vendor postdated checks

> Promissory notes

Draw promissory note journal

Redraw promissory note journal

Remittance journal

Settle promissory note journal

> Broker and royalties

Create journal header.

Finance and Operations Accounts payable > Payments > Vendor payment journal

Draw promissory note journal

Standard view

Show Not posted ☐ Show user-created only

List General Setup Blocking Promissory note Financial dimensions History

	Journal batch number	Name	Description	Posted	Posted on	Log	In use	In use by	Modified by	Rejected by
☒	01439	Promissory	Promissory note journal	☐		☐	☒		Dogan,Adiyaman	

Select the bank account on the promissory notes tab.

Click on lines.

Finance and Operations Accounts payable > Payments > Vendor payment journal

Draw promissory note journal

Standard view

Show Not posted ☐ Show user-created only

List General Setup Blocking Promissory note Financial dimensions History

Bank account BOA001

Select the vendor >> Settle transactions

Mark the transaction and click OK.

Click on Functions > Generate payments.

Finance and Operations | Accounts payable > Payments > Vendor payment journal

Journal voucher | 01439 : Promissory

Standard view

Overview | General | Promissory note | Remittance | History

+ New | Delete | Settle transactions | Financial dimensions | Voucher | View marked transactions

Post and transfer
Generate payments
Cancel promissory note document
Delete journal lines
Load ledger transactions

Date	Voucher	Company	Account type	Account	Account name	Description	Debit	Credit	Currency	Method of payment	Payment specification	Payment status	Due date
6/1/2024	PNDW10000...	usmf	Vendor	1001	Acme Office Supplies		860,000.00		USD	PN		None	7/1/2024

CURRENCY			REPORTING CURRENCY		
DEBIT	CREDIT	BALANCE	DEBIT	CREDIT	BALANCE
VOUCHER 860,000.00	860,000.00	0.00	860,000.00	860,000.00	0.00
JOURNAL 860,000.00	860,000.00	0.00	860,000.00	860,000.00	0.00

Send generated file to the vendor.

Finance and Operations | Accounts payable > Payments > Vendor payment journal

Export | Use Network Printer | Reload | Options

1 of 1

Automatic Zoom

Bank of US

1 Julio 2024 ***860,000***

Acme Office Supplies

OCHOCIENTOS SESENTA MIL

8 Uno Junio 24

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After creating the promissory note, **post the journal** to record the transaction in the system.

Once posted, the **promised amount** will appear in the “**Drawn and invoice-confirmed document**” section of the *Promissory Note Statistics* form.

Navigation Path:

Accounts Payable → Inquiries and Reports → Payments → **Promissory Note Statistics**

From an accounting perspective, the system posts the entry by **debiting the vendor summary account** and **crediting the promissory note summary account**, reflecting the formal commitment for future payment.

Finance and Operations				
Accounts payable > Inquiries and reports > Payment > Promissory note statistics				
← Origin Options 🔍				
Promissory note statistics				
Standard view ▾				
☐	Status	Number of promissory no...	Amount	Remaining amount
☒	Drawn and invoice-confirmed documents	3	-873,855.79	-873,855.79
	Redrawn documents	1	-171.23	-171.23
	Documents in remittance	0	0.00	0.00
	Remitted and remitted-confirmed documents	0	0.00	0.00
	Honored documents	1	500.00	0.00
	Closed documents	0	0.00	0.00